

AC Service Technician Compensation Plan

CEO-Aligned Performance Structure

Objective

Create a compensation system that:

- Increases revenue per technician
- Improves response speed
- Protects gross margin
- Prevents rushed or low-quality work
- Aligns pay with performance

This plan rewards speed and production **without sacrificing professionalism or margin.**

1. Compensation Structure

Base Pay (Stability Layer)

- Salaried techs remain on salary.
- Hourly techs remain hourly (or standardized later).
- Base pay covers:
 - Showing up on time
 - Completing scheduled calls
 - Meeting professional standards
 - Following safety procedures

Base pay = income stability.

Bonuses = performance upside.

Monthly Performance Bonus (Alignment Layer)

Bonuses unlock only if quality standards are maintained.

A. Production Bonus (Jobs Completed)

Example Structure:

- 0–80 jobs/month → No bonus
- 81–100 jobs/month → \$X
- 101+ jobs/month → \$XX

Purpose:

- Encourages efficiency
 - Increases daily throughput
 - Reduces schedule drag
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B. Response Time Bonus

Measured KPI:

- Average dispatch-to-arrival time

Example:

- Under 90 min average → Unlock bonus tier
- Under 60 min average → Higher bonus tier

Purpose:

- Directly addresses company bottleneck (speed)
 - Rewards urgency without chaos
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C. Revenue Performance Bonus

Structure:

- Revenue target per tech (baseline)
- % bonus on labor revenue above target (2–5%)

Purpose:

- Encourages productive ticket management
 - Increases revenue per tech
 - Aligns effort with growth
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Quality Guardrails (Bonus Conditions)

Bonuses are reduced or disqualified if:

- Customer complaints increase
- Negative reviews spike
- Safety violations occur
- Refunds or rework issues rise

Speed + Standards. Never speed alone.

2. KPIs to Measure If Plan Is Working

These KPIs determine whether the comp plan is driving growth or just increasing payroll.

KPI 1: Revenue Per Technician (Primary Growth Metric)

Formula:

Total Monthly Revenue ÷ Number of Techs

Goal:

Revenue per tech increases within 60–90 days.

If payroll rises but revenue per tech stays flat → plan is not working.

KPI 2: Gross Margin Per Technician (Protection Metric)

Formula:

Revenue – Labor – Parts = Gross Margin

Goal:

Margin stays stable or improves.

If bonuses increase but margin drops significantly → overpaying for production.

KPI 3: Jobs Per Day Per Technician (Throughput Metric)

Track:

- Average daily jobs per tech
- Average time per job

Goal:

Moderate increase without quality decline.

KPI 4: Average Response Time (Bottleneck Metric)

Track:

- Dispatch-to-arrival average
- Same-day completion %

Goal:

Measurable improvement over 90 days.

KPI 5: Customer Satisfaction / Complaint Rate (Quality Guardrail)

Track:

- Negative reviews
- Escalations
- Refunds
- Warranty issues

Goal:

Remain stable or improve.

If production rises but complaints increase → rushing is happening.

3. CEO Evaluation Framework (90-Day Review)

After implementing:

Ask:

1. Is revenue per tech up?
2. Is gross margin stable?
3. Is response time improving?
4. Are complaints flat or lower?

If YES to all → Plan is working.

If revenue up but margin down → Incentives too rich.

If speed up but complaints up → Rushing.

If payroll up but revenue flat → Broken alignment.